

PROPERTY RIGHTS ACCORDING TO THE QUR'ĀN AND SUNNAH AND THEIR ECONOMIC IMPLICATIONS FOR CONTEMPORARY SOCIETIES

*Muhammed Habib Dolgun**

Abstract

Property rights are among the most important human rights that are carefully protected in Islam. Property rights are clearly defined in Islam and there are many institutions designed to safeguard these rights. Moreover, there are distinct ethical and legal obligations in Islamic jurisprudence that govern the acquisition of private ownership. Generally, the use of property is restricted by the prohibitions of ribā (interest), gharar (uncertainty), hoarding and other prohibitions of the Sharī'ah (Islamic law). Moreover, the Sharī'ah prescribes certain obligations on wealth such as paying zakāh (mandatory alms) and recommendations such as ṣadaqah (charity). Ostensibly, these legal and moral limits have the benefit of protecting property rights, promoting more equal income distribution and realising the well-being of individuals and society at large. Success or failure in protecting property rights has contributed to many civilisations' emergence or collapse. Since the main role is given to the individual for obeying rules, it is not expected that the government plays an active role in protecting property rights in Islam because a priori all individuals should be rule compliant. Moreover, the individual is given the most critical role to facilitate the efficient allocation of resources. For this reason, individuals' rights, including property rights, are protected carefully. This paper reviews the theoretical

* Muhammed Habib Dolgun is an Expert in the Banking and Financial Institutions Department, Central Bank of the Republic of Turkey. He can be contacted at habib.dolgun@tcmb.gov.tr.

evidence supporting the legal views of property rights according to Islam. The differences between the Islamic perspective and conventional theories are discussed and the rules governing property rights are clearly specified. The paper also assesses the implications of the protection of property rights on economic matters in modern times. Likewise it argues that property rights formulated by the rules and principles of the Qur'ān and Sunnah (prophetic traditions) directly result in societal development and economic growth.

Keywords: Property Rights, Qur'ān, Development, Economic Growth, Equal Income Distribution.

I. INTRODUCTION

Academics have been discussing Islamic finance for nearly 40 years. One of the basic issues that has not been paid enough attention is the concept of property rights and their effects on Islamic financial practices. What makes this issue particularly relevant is that effective and properly defined property rights are essential in generating the preconditions for economic growth. Property rights are among the most important human rights that are carefully protected in Islam. Islam, for instance, acknowledges and endorses private ownership of assets, although some Muslim societies may not apply these rules. The Sharī'ah (Islamic law) stipulates that it is a divine obligation for everyone to work and use their abilities to gain a fair reward from their efforts. To this end, Islamic rules specify that an individual can acquire property through legitimate means. Nonetheless, it is noted that Islamic law imposes certain obligations and limitations for the usage of rights, which means that rights are not absolute. In fact, the Qur'ān contains various rules that serve as a check and balance function for the protection of property rights against the obligations of ownership; for example, the Qur'ānic prohibitions of *ribā* (interest), *gharar* (uncertainty) and hoarding. Islam also recognises the concepts of *hisbah* (the enforcement of religious morals in marketplaces) and the protection of free markets, which are important in protecting the rights of individuals in Islamic societies.

By definition, property is a thing, asset or resource that fundamentally has value in use, although it may also have value in exchange (Mirakhor et al., 2009). Property rights include the right to earn and acquire property, the right to own, possess and enjoy property, and the right to transfer such property through sale, gift, exchange, will or other lawful means. Islam recognised all these rights to property more than 1400 years ago. The Arabic terminology for property right is *haqq*, which literally means one's right. The concept of property rights under Islamic law is broad and has evolved at different times based on the values and objectives of the society. The concept covers both the mental and physical aspects of rights. For instance, one of the key issues of relevance to the modern world is the protection of intellectual property rights (IPR). The concern of the Islamic world should indeed align with this contemporary issue of removing barriers for protecting IPR. Within the physical aspects of rights is the issue of land reforms. Some jurists discuss this issue in the context of Islamic countries protecting the property rights of individuals (Chapra, 2014).

The objective of this paper is to provide an overview on property rights in Islam as well as to discuss the basic principles and rules of property rights and their economic implications in the modern world. It is claimed that if all aspects of property rights would be protected and used according to Qur'ānic rules, there would be significant growth in Islamic societies. The paper is organised as follows: after introducing the topic in Section I, Section II analyses the literature on property rights in both Western thought and the Islamic worldview. Section III then discusses the rules of property rights. Section IV elaborates on the institutions for the protection of property rights. Section V deliberates on the tools for protecting property rights in contemporary societies. Section VI discusses the relationship between economic development and protection of property rights. Section VII looks into the implications of protection of property rights in contemporary societies. Section VIII finally concludes the discussion.

II. OVERVIEW ON PROPERTY RIGHTS

a. Property Rights in Western Thought

In the context of Western civilisation, liberal theorists claim that private property and the pursuit of profits motivate individuals to play an effective role in the market to maximise their utility. Therefore, the concept of private property in liberal thought is the base for setting the incentive structure of the market and for efficient working of the market. Moreover, it is claimed that a primary function of property rights is to provide the necessary incentives to achieve efficiency (Demsetz, 1967). Without having the right to private property, the market would not achieve the equilibrium point.

One of the first Western philosophers who wrote on property rights was Thomas Hobbes (1588–1679). In his book *Leviathan* (1651) he developed the conceptual framework for the right of the individual and suggested that all legitimate political power must be 'representative' and based on the consent of the individual; and having a 'social contract' is the only way for securing individuals' property rights. Thereafter, John Locke (1632–1704) contributed to the social contract theory by defining 'the self' through the concept of 'consciousness', and his 'theory of mind' added value to the formation of property rights and affected the work of later philosophers such as David Hume, Jeremy Bentham, John Stuart Mill and Adam Smith.

After John Locke, Adam Smith (1776) went one step further by claiming that the private contract is a critical prerequisite for voluntary and mutually beneficial exchanges that are the means of specialisation, innovation and economic growth. Furthermore, according to Jeremy Bentham (1748–1832) and John Stuart Mill (1806–1873), the main motive and incentive structure for having private property is to maximise utility. Bentham (1789) suggested that maximising utility is good for both individuals and the society. However, Bentham could not define the incentive structure properly and so he used Smith's structure. Moreover, Nozick (1974) suggested that the 'sacrosanctity of life made property rights non-negotiable', such that an individual's personal liberty made state policies of redistribution illegitimate. Nozick (1974) rejected the notion of absolute rights advanced by Locke (1689) and claimed that the notion of a 'free system' would allow adults to voluntarily enter into non-coercive contracts.

On the other hand, Hegel (1820) critically evaluated private property as it may create an unhealthy desire for wealth accumulation. Karl Marx (1847) saw private property as the first evil and Jean Jacques Rousseau (1762) believed that the first foolish man is the one who surrounded a piece of land as private property. On the other hand, Hayek (1960) argued that protecting private property rights is vital for preventing coercion, securing liberty and enhancing personal welfare.

More recently, a growing body of empirical work demonstrates a strong positive association between the degree to which countries protect private property and its role in furthering economic development. There are many property right indexes that show that there is a close relationship between protecting rights and development (see Global Competitiveness Report 2014-2015). Although the protection of property rights has a very short history in Western countries as compared to the Muslim world, they have been able to consolidate these thoughts and synthesise these different liberal, structural and libertarian thoughts to protect property rights properly.

The protection of property rights requires strong individual support, a rule-compliant environment as well as well-structured institutions that enforce property rights and facilitate the fulfillment of contracts. The incentive structure of private property is necessary to motivate people towards greater efficiency and improved quality. Moreover, Levine (2005) states that private property rights are crucial for personal welfare and economic development. For this reason, socialist stages, which did not give any private property rights to individuals, could not prevent their collapse and today in many post-socialist countries the importance of property rights is being increasingly recognised.

Legal scholars emphasise the differences prevailing between the French and German civil law systems and the British common law system (Levine, 2005). Hayek (1960) argues that, compared to British common law, French civil law places comparatively less emphasis on private property rights and more emphasis on the rights of the state. Beck et al. (2003) examine the relationship between legal origin and measures of private property rights protection. In their core results, they find a strong negative relationship between a country having a French civil law tradition and its level of property rights. Acemoglu

et al. (2005) present specifications in which the relationships between legal origin and some property rights indexes are not robust. From the perspective of law, it is found that many developing countries with legal systems based on French civil law rank very highly in terms of property rights; for example, Chile, Morocco, the Philippines and Turkey. These countries show some evidence that legal systems that apply rules strictly to protect property rights, independent of the origin of their legal systems, are much more effective in their approach.

b. Property Rights in Islam

In contrast to Western societies, where property rights were gradually accepted after the Middle Ages, property rights in Islam are clearly recognised in the Qur'ān and Sunnah (prophetic traditions). According to the Qur'ān, everything in the universe originally belongs to Allah (SWT), and all properties have been given to human beings for their use (Mirakhor et al., 2009). Human beings are deemed stewards of Allah (SWT) on earth and His trustee in the management of resources in the world (Latif, 2002; Mirakhor & Hamid, 2009; Bashir, 2011). A steward or a trustee is given property and property rights for a certain period. If the trustee properly uses the property and obeys the rules that are specified by the Real Owner and Creator of the property, the trustee would be rewarded and the outcomes of the property would be enjoyed in this world. In this sense we can say that ownership of property in Islam is mainly a 'beneficiary' ownership where there is a transfer of right from the first owner (Allah) to the steward (human beings). This is on basis of *amānah* (trust) offered to humans.

Bashir (2011) suggests that ownership rights in Islam originate from the concept of *khilāfah* (stewardship). The mission of developing the earth arising from this concept provides the imperative for growth and development with a minimal level of poverty (Mirakhor & Hamid, 2009). Latif (2002) stresses that the Qur'ān assigns to man 'the vicegerency of Allah (SWT) on earth' because it is desired that man should have a peaceful order of existence in this world by applying the rules of the Qur'ān. The Qur'ān states:

It is He who has made you (His) vicegerents (or stewards), inheritors of the earth. He has raised you in ranks, some above others, that He may try you in the gifts he has given you (6:165).

Since property is considered *amānah*, it is subject to certain conditions and fiduciary duties. This means that there is no absolute usage of property. The Qur'ān states that Allah (SWT) is the owner of everything because He has created everything and also permits humans to use their labor in order to acquire private property. As stewards and trustees of Allah (SWT) on earth, human beings are to “manage” and run the world according to the terms of stewardship and trusteeship. That is, human beings shall manage the world according to the principles of justice. The best way of maintaining justice in this world can be learned by looking at the divine sources. The Qur'ān says:

Verily Allah (SWT) has purchased from the believers their persons and property that Paradise might be theirs (9:111).

Nursi (1936) discusses this verse by saying that the surging field of battle is the tempestuous surface of the world, which ceaselessly changes, dissolves and re-forms and causes every man to think about finding ways of transforming perishable property into eternal property. According to Nursi (1936), since it is not possible to protect property eternally in this transient world, the best way of protection is to sell the property to Allah (SWT). Since human beings are indigent and resourceless, they will have the trouble and concern of administering and preserving property. At the same time human beings would be punished for betraying their trust if they could not keep their property. Moreover, if they sell the property to the Monarch of Pre-Eternity and Post-Eternity, Sustainer and Creator, they become the soldier and act in Allah's name in the use of all kinds of property—including estates, machinery, tools, body, spirit and heart, outward and inward senses, intelligence and imagination—such that all of them become eternal property. To sell the trust received back to its True Owner has many benefits, including the fact that transient property becomes everlasting. Nursi (1936) claims that selling the property to Allah (SWT) means to use the property according to the rules established in the Qur'ān and Sunnah.

This way of thinking leads one to obey well-formulated, prescribed rules of behaviour, such as trustworthiness, truthfulness, obeying the terms and conditions of contracts, transparency in market

transactions, and non-interference in market conditions and the price mechanism. Mirakhor (2009) claims that compliance with these prescribed rules of behavior create a reasonably strong economy where everybody has access to the same information and participants engage in transactions confidently with minimal concern about others' decisions. Rules regarding redistribution and prohibition of idle wealth accumulation would reinforce the availability of resources for saving and investment.

The Qur'ān states:

Believe in Allah and His messenger, and spend of that
whereof He made you trustee (57:7).

This verse and many others (such as Qur'ān, 2:261) introduce the incentive structure that a person entrusted with wealth can achieve the highest degree of virtue by spending out of his wealth within the boundaries set by the Sharī'ah. The Sharī'ah extends the concern of man to both this world and the life beyond physical death, whereby belief in the hereafter produces an intertemporal behavior (Bashir, 2011). For example, when someone decides to pursue a business venture, he must take into consideration not only his expected profits but also the eternal rewards he might get from benefiting the community. This means that he should care about moral rules and principles that regulate the legitimate sources of acquiring property and its disposal for achieving two basic objectives: restoring *al-'adl* (socioeconomic justice) and promoting *al-ihsān* (mutual benevolence) (Qur'ān, 16:90). Chapra (2007) claims that Islam's vision of the economic system makes it very crucial to use resources for fulfilling the essential needs of all human beings.

Furthermore, Islam places great importance on the preservation of property rights, defines a balance between the rights of individuals, society and the state, and strongly prohibits encroachment on anyone's property rights. The market's institutional structure is moreover built around five pillars: (i) property rights, (ii) the free flow of information, (iii) trust, (iv) contracts, and (v) the right not to be harmed by others combined with the obligation not to harm anyone (Mirakhor et al., 2009). Together, they serve to reduce uncertainty and transaction costs and enable cooperation and collective action to proceed unhindered.

There are many Qur'ānic verses and *hadīths* which recognise the right of an individual to use property (for example, 4:32, 53:39-41, 2:254, 2:267 & 9:103). Furthermore, Warde (2000) claims that Islam innovated in its perspective on private property, its emphasis on written contracts, and more generally, its favourable view of business endeavours. Islam from its inception explicitly legitimised private property, business enterprise and profit. Warde (2000) mentions that in medieval Muslim society, the Sharī'ah was often used as a shield for private property against arbitrary confiscation. To violate the legitimate property rights of a person is considered to be oppression and exploitation, just as there is "discord and corruption on earth" when individuals do not discharge their private property obligations. For this reason we should discuss the rules of property rights in detail.

III. RULES OF PROPERTY RIGHTS

Since property rights are given as a trust to people, they are subject to certain limitations, rules for usage of these rights. The rules defined in this paper are mainly derived from the Qur'ān and Sunnah and also from the writings of Mirakhor et al. (2009), Mirakhor & Hamid (2009), and Iqbal & Mirakhor (2011). Also, different interpretations and aspects have been added to these rules.

a. The Supreme Creator is the Ultimate Owner of all Properties and Assets

Allah (SWT), as the Creator, is the ultimate owner of all property. In order that human beings become materially able to perform duties and obligations prescribed by the Law Giver, they have been granted a conditional right of possession of property; this right is granted to the collectivity of humans (Mirakhor et al., 2009). All natural means of production and resources which contribute to man's living have been created by Allah (SWT). For this reason it is He who has the right to specify the limitations for usage. Under the sovereign command of Allah (SWT) and within the limits imposed by Him, the Qur'ān recognises the right of holding private property as implied in several verses.

Allah is the one who created you, then provided for you, then will cause you to die and then will give you life. Are there any of your "partners" who does anything of that? Exalted is He and high above what they associate with Him (30:40).

That is Allah, your Lord; there is no deity except Him, the Creator of all things, so worship Him. And He is the Disposer of all things (6:102).

Allah has created you and what you make (37:96).

And to Allah belongs the dominion of the heavens and the earth and whatever is between them. He creates what He wills, and Allah is over all things competent (5:17).

The Qur'ān in these verses, and in many other verses (such as 81:16, 29:2 and 33:14), makes it clear that all property and the rights of using property belong to the Creator who has created all the resources available to humans to empower them to perform what their Creator expects of them. We understand from these verses that the right of use and right of possession are given to human beings for a short period of time. If Muslims understand this rule, they may become more careful individuals about protecting others' as well as their own properties.

b. The Collective Right to the Created Resources

Some scholars are of the view that the right of possession is a 'collective right' and given to all individuals who can only earn a priority in the use of these resources. While a part of these resources is reserved for the exclusive possession of the collectivity, the remaining part is allowed to become the possession of an individual without the collectivity losing its initial right of possession to these resources. Resources are given to all humans to perform their basic duties prescribed by the Qur'ān and specified by Prophet Muḥammad (peace be upon him). However, when individuals apply their labour to these resources, they get or acquire a right of priority in the use and enjoyment of the resulting product, but without the prior rights of others being nullified. This proposition becomes a legislative

basis for requiring preservation of society's well-being and interests. Social interest and the collective dimension of human life demand that individual freedom is kept within certain limits and a balance is created in such a way that the individual, the society and the state each has a claim on property rights in respect of the roles assigned to them. Mirakhor et al. (2009) write that the individual's possession and usage of the property is allowed and protected by the Shari'ah as long as it does not conflict with society's interests. Rules concerning the acquisition, possession, usage and disposal of property should be looked at as regulations rather than restrictions.

c. The Importance of Labour in Claiming Property Rights

Individuals are encouraged to use their labour to get resources by combining their physical and intellectual abilities with the produced resources. The high admiration for work in the Qur'an (9:105) is a clear incentive to innovation and novelty. Hence, individuals are encouraged to invest in their human capital development. Bashir (2011) suggests that work is considered to be a perfectly legitimate vehicle for acquiring property insofar as it is in conformity with certain moral requisites.

Truly, IPR are acknowledged and safeguarded by the Shari'ah. Since work and transfer of property are the only sources for claims of property rights, work is the basis of acquisition of right to property. The Qur'an accordingly states:

And that man has only that for which he makes effort (53:39).

Any property that is considered counterproductive or non-beneficial loses its legitimacy and its associated rights (Mirakhor et al., 2009). For this reason, hoarding with the intention of maximising profit is considered an unacceptable means of building wealth and property.

Arif & Iqbal (2011) are of the view that Islam requires every individual to work and to produce. Prophet Muhammad (peace be upon him) teaches: "Never be lazy and helpless" (Rahman, 1994: 9). Moreover, the main route to economic achievement is hard work and assumption of risk. The importance of labour is briefly addressed in

the Qur'ān as follows:

Is it they who would portion out the Mercy of thy Lord? It is We Who portion out between them their livelihood in the life of this world: and We raise some of them above others in ranks so that some may command work from others. But the Mercy of thy Lord is better than the (wealth) which they amass (43:32).

In this context, useful work is that which benefits others and society. Subsequently, those who work hard are acknowledged and are rewarded. Arif & Iqbal (2011) claim that the emphasis on property rights in Islam justifies why stakeholders should be included in decision-making and accountability. The rights of others are subject to the Islamic rules governing the violation of any of those property rights.

d. The Duty of Sharing

Private property rights are regarded as a trust held to effect sharing. Since all members of society have an equal right and opportunity to access the natural resources, the right of priority in the possession, use or exchange of property gives responsibility to the owner to share the property with others. In several verses the Qur'ān talks about the right of the indigent in the property of the rich. The Qur'ān acknowledges that there is a residual right in the property of the rich for the needy. Common and private properties are the mixture of “grant” and “natural rights”. This principle regards private property ownership rights as a trust held to effect sharing, which is implemented through redistributive mechanisms such as *zakāh* (mandatory alms). The Qur'ān states:

Zakāh expenditures are only for the poor and for the needy and for those employed to collect [*zakāh*] and for bringing hearts together and for freeing captives and for those in debt and for the cause of Allah and for the [stranded] traveller—an obligation [imposed] by Allah. And Allah is Knowing and Wise (9:60).

And [in charity] do not make your hand [as] chained to your neck [i.e. stingy] or extend it completely and [thereby] become blamed and insolvent. (17:29)

Zakāh is money or any other kind of property which is given to the poor and the other groups of people mentioned above. This is not a voluntary act but a religious obligation. A system for “distributive justice” is prescribed by the Qur’ān, the purpose and effect of which are to redistribute wealth in the society. Unlike other naturalist theories, the Qur’ān does not try to justify this duty based on an “implicit compact” or “need”. Rather, the Qur’ān regards poverty as an undesirable phenomenon which must be prevented and/or rectified. Therefore, it is inherently right for a person to give away part of his private property to charity. Moreover, *zakāh* is not only for the good of society but also necessary for the moral development, purification and salvation of the giver. It is not only a tax but also an act of worship, just like prayer.

e. Limitation on the Right of Disposing Property

According to the Qur’ān, a limitation on the right of disposing property should be imposed. Individuals are mandated not to waste, destroy, squander or use property for unlawful purposes. Islam recognises that Divine Providence has endowed individuals with unique and unequal abilities and that some individuals have greater mental and/or physical capacities and, consequently, are capable of obtaining title to a larger amount of property and assets. But this only means that such individuals’ responsibilities and obligations are greater than those of others. However, once these individuals have discharged their duties of sharing, in the prescribed manner and in the prescribed amount, and provided they are not in violation of the rules of Sharī‘ah, their rights to their possessions are held inviolate and no one has any right to force appropriation of that person’s property to anyone else. There are three important concepts related with this principle: *isrāf*, *itlāf* and *itrāf*.

- i. Isrāf* means using too much of a resource. Ibn Mājah reported that Prophet Muḥammad (peace be upon him) warned one of his companions as he was performing ablution by saying

“Even if you are by the side of a flowing river, you should not make *isrāf*.” Imam al-Shāfi‘ī (a renowned jurist) is of the opinion that when individuals go beyond the point of moderation in expenditure, even if they are spending on good and lawful things, their property should be placed under the custody of the state. This is because Islam attaches great importance to protecting people from harm. These verses show the importance of not making *isrāf*.

Eat of [each of] its fruit when it yields and give its due [*zakāh*] on the day of its harvest. And be not excessive. Indeed, He does not like those who commit excess (Qur’ān, 6:141).

O children of Adam, take your adornment at every masjid, and eat and drink, but be not excessive. Indeed, He likes not those who commit excess (Qur’ān, 7:31).

- ii. *Itlāf* is to make an existing thing non-existent without justification. In the Musnad of Aḥmad bin Ḥanbal (no. 18651), Prophet Muḥammad (peace be upon him) said that if a person kills even a small bird without any reason, this bird on the Day of Judgment would bring a claim against this person for killing it without any valid reason. This means that we can not make *itlāf* in any case.

And do not consume your property unjustly...while you know [it is unjust]. (Qur’ān, 2:188)

- iii. *Itrāf* is close to opulence, which means to spend money to buy something for showing off.

And similarly, We did not send before you any warner into a city except that its affluent said, "Indeed, we found our fathers upon a religion, and we are, in their footsteps, following (Qur’ān, 43:23).

O you who believe, do not consume one another's wealth wrongfully; rather, let there be trade by mutual consent; and do not kill one another, for Allah is merciful to you. (Qur’ān, 4:29).

Poverty and wealth are trials of one's commitment to the higher spiritual order. According to the Islamic view, the rejection of asceticism is not an invitation to hedonistic consumption.

f. Protection of the Disadvantaged

Since all resources belong to mankind in general, the inability of a person (physical, mental or due to circumstances) to access these resources does not negate the individual's right to these resources.

And from their properties was [given] the right [*haqq*] of the [needy] petitioner and the deprived (Qur'ān, 51:19).

The societal institutional structure that allows wealth accumulation is deficient in fully redeeming the rights of the less able in the wealth of the rich and powerful. This leads to abundance for some and scarcity for many. For this reason, it is the duty of the rich to provide for the poor through measures such as *zakāh* (mandatory alms) and *ṣadaqah* (charity).

g. No Accumulation of Wealth through Hoarding and Monopoly

Property rights must not lead to accumulation of wealth as the latter is considered the lifeblood of the society which must constantly circulate to create investment, employment, income and economic growth opportunities. Property is not a means of exclusion but inclusion, in which the rights of those less able are protected (Mirakhor & Hamid, 2009). The Islamic view holds that it is not possible to have many rich and wealthy people who continue to focus all their efforts on accumulating wealth without simultaneously creating a mass of economically deprived and destitute. The rich consume opulently while the poor suffer from deprivation because their rights in the wealth of the rich and powerful is not redeemed. To avoid this, Islam prohibits wealth accumulation, imposes limits on consumption through its rules prohibiting overspending, waste and opulent spending (Mirakhor, 2009).

Bashir (2011) further suggests that wealth should not be monopolized in the hands of a few individuals, since this will create social imbalance. The Sharī'ah prohibits monopoly since it is the

primary vehicle for financial exploitation and wealth concentration. Bashir (2011) also claims that by condemning hoarding, the Sharī'ah encourages and promotes efficient use of property. The owner is required to use his wealth in ways that benefit him while not hurting the general interest of society.

h. The Right of Access to Resources Belongs to All Mankind

It is through its rules on property rights that Islam envisions economic growth and poverty alleviation in societies (Mirakhor, 2009). The latter is accomplished through the discharge of the obligation of sharing derived from the property rights principles which envision the economically less able as the silent partners of the more able. In effect, the more able are trustee-agents in using resources created by Allah on behalf of themselves and the less able. This means that property rights are not a means of exclusion but of inclusion of the less able in the income. In Islam, the more able are required to share the consequences of the materialisation of idiosyncratic risks—illness, bankruptcy, disability, accidents and socio-economic disadvantage—for those who are unable to provide for themselves.

i. Capacity and Duty

The Qur'ān distinguishes between existence of rights and existence of duties, in which “duty” is the result of one's capacity and efforts. The Qur'ān does not approve of a system of property right which is tailored by the state solely on the basis of “maximization of pleasure and minimization of pain”. The property system is treated differently by the Qur'ān compared to “rights.”

We do not impose on any soul a duty except to the extent of its ability... (Qur'ān, 6:152).

Allah does not charge a soul except [with that within] its capacity. It will have what [good] it has gained, and it will bear [the consequence of] what [evil] it has earned.... (Qur'ān, 2:286).

Everyone in the society can obey these rules and fulfill his or her duty.

j. Distribution and Inheritance of Property

The Qur'ānic rule with regard to property which a person leaves behind him after his or her death is that it should be distributed among his parents, children and spouse according to a specified ratio. If one leaves neither parents nor children, his brothers and sisters should divide it. The guiding principle here is that property accumulated by a person during his lifetime should not remain accumulated after his death but be divided among his kinsfolk. This is opposed to the principle underlying primogeniture, the joint family and other similar systems which aim at keeping accumulated wealth accumulated even after the death of its holder. Besides this, if a person leaves much wealth he may bequeath a part of it for charitable purposes or works of social welfare. The Qur'ānic direction in respect of properties, wealth and incomes that belong to the state is that they should be used for the welfare of poor and disadvantaged persons.

k. The Prohibition of Ribā

The Qur'ān clearly and strongly condemns the acquisition of the property of others through wrongful means (2:188, 4:29, 4:161, 2:275, 2:278-280 and 9:34). Interest (*ribā*) on money loaned represents an unjustifiable and instantaneous property rights claim. It is unjustifiable because interest is a property right that falls outside the legitimate framework of individual property rights recognized by Islam. Money lent on interest is used either productively, in the sense that it creates additional wealth, or unproductively, in the sense that it does not lead to incremental wealth produced by the borrower.

l. Prohibition of Gharar and Asymmetric Information

Bashir (2011) suggests that any property acquired through unjustifiable means, like *gharar* (speculation), *maysir* (gambling), bribing, stealing, cheating, or illegal trading is proscribed and forbidden. Certain commercial practices are, however, prohibited (deemed *ḥarām*) by the Sharī'ah as well. Any contract involving these products is not binding and, hence, should not be honored or enforced.

IV. INSTITUTIONS FOR THE PROTECTION OF PROPERTY RIGHTS

In Islam, the central role for protection of property rights is a priori given to individuals. Therefore, many commandments in the Qur'ān define this obligation which rest in the hands of individuals. If all individuals obeyed the rules of the Qur'ān, the property rights of all people would be protected in a perfect way. However, since individuals have different innate natures, applying the same rules may result in some conflicts. For this reason, Islam proposes some institutions for the protection of property rights.

Bashir (2011) claims that the enforcement of property rights can only begin with the establishment of legal as well as economic institutions. This is important because these institutions are inextricably linked and complementary to each other. Conversely, the lack of a well-defined legal system specifying the domain and limitations of property rights would undermine any efforts to encourage individuals to enter into long-term contracts. For this reason, the Sharī'ah requires establishing institutions that will regulate, codify and enforce property rights. These relate to legal, market and financial institutions.

a. Legal Institutions

In the ideal case, people are expected to protect others' rights. However, in the real world we need legal institutions which have coercive powers to protect people against others' greed. Bashir (2011) mentions that there exist comprehensive clauses specifying the rights and responsibilities of property owners in the Islamic legal system which deal with applications of the rules of inheritance, transferring property or fulfillment of contracts.

b. Market Institutions

Bashir (2011) claims that in endorsing economic freedom and allowing maximum scope to market forces, the Sharī'ah acknowledges the market mechanism as a vehicle for the determination of commodity prices. Full and unlimited access to the market by all buyers and sellers is advocated as a prerequisite for the free working of a liberal

economy. Moreover, full disclosure of the quality of goods being offered for sale and non-interference with suppliers before entrance into the market is required. In this market there is no hoarding, no monopoly. Prices cannot be fixed by state or public authorities. There is no fixed place in the market. Perfect competition, symmetric information and protection of all property rights are the basic characteristics of this free market.

c. Financial Institutions (Muhtasib)

There are *muhtasibs* (market supervisors) in these markets who are responsible for maintaining stability and security in the market. For this reason commerce and trade were in widespread use in the Islamic world from the beginning of the Islamic Era. Mirakhor & Hamid (2009) say that the Prophet (peace be upon him) appointed market supervisors whose job was to ensure rule compliance. It is reported that often the Prophet (peace be upon him) himself would enter the market and warned market participants to become rule compliant. He would often urge market participants to self regulate in compliance with the all-important behavioural rules. The damage to the economy due to malfunctioning markets can be quite serious.

V. TOOLS FOR PROTECTING PROPERTY RIGHTS IN CONTEMPORARY SOCIETIES

a. Fulfillment of Contract and Trust

Fulfillment of contract is one of the bases for the protection of property rights, and trust is another important component in the exchange of goods. These factors allocate risks by providing for future contingencies and set the obligations for each party as well as remedies for breach of contracts. Islam anchors all socio-political-economic relations on contracts. In the Qur'ān (5:1) believers are ordered to be faithful to their covenants and to protect what has been placed in trust with them as a shepherd protects his sheep (17:34; 2:172; 16:91-92). Thus, believers should take on contractual obligations only if they fully intend to fulfill them.

Contracts without trust would increase the cost of transactions, and the code of the behavior in the market would be suspicious. Without trust, contracts become difficult to negotiate and conclude and costly to monitor and enforce. Empirical research has shown that where the problem of lack of commitment exists and is significant, it leads to disruption in economic, political and social interaction among people (Ng et al., 2014). Considering these issues, one can appreciate the strong emphasis that the Qur'ān has placed on trust, trustworthiness (8:27 and 4:57) and the need to fulfill terms and conditions of contracts, covenants and promises. These rules solve the problem of credible commitment and trust, and thus facilitate long-term contracts.

The life of the Prophet (peace be upon him) is a shining illustration of the implementation of the guidance of Allah in maintaining trust. Regarded as eminently trustworthy even before his divine appointment, the Prophet spent a great deal of effort in modifying when possible and changing when necessary the behavior of the community in respect of trustworthiness. When and where trust is weak, complicated and costly administrative devices are needed to enforce contracts. Under these circumstances, it becomes difficult to clearly specify the terms of contract since transaction costs are high. Consequently, there is less trade, fewer market participants, less long-term investment, lower productivity and slower economic growth.

b. Decreasing Poverty and Promoting Equal Distribution of Income and Long-term Growth

The Qur'ān stipulates the objective for the society to establish a healthy and developing economy in which there are neither extremes of wealth nor poverty (Mirakhor & Hamid, 2009). The Qur'ān (59:7) further requires that wealth should not circulate only among the rich. An economy in which all humans have equal opportunity to access all resources would be a stable economy. In this economy, there would be no poverty and more equal distribution of income. This is because, Islam not only requires the removal of poverty and fulfillment of everyone's needs, primarily through a respectable source of earning, but also emphasises the social aspects of the economy involving *zakāh*, *ṣadaqah* and *awqāf*. It would, however, be a mistake to rely

primarily on these contributions to realise the objective of equitable distribution of income and wealth. It is also necessary to accelerate development and to adopt other Sharī'ah-compliant methods. The greater the economic growth, the more rapidly will structural unemployment disappear and the less resistance there will be to societal progress.

Arif & Iqbal (2011) state that every human being has a minimum requirement to be able to live in dignity. The system is balanced out through the act of *zakāh*. If this source is not enough, the Islamic government would apply a temporary tax on the rich and affluent to balance the budget as a religious duty (*farḍ kifāyah*).

c. Risk Sharing

If property rights were protected, risk would be shared in the society because every individual would share some risk. Nobody in this society can transfer his or her risk to another. Risk sharing is based on the principle of liability, which states that profit is justified on the basis of taking responsibility for the possibility of loss and its consequences (Mirakhor, 2010).

d. Protecting the Dignity of Every Individual

The Sharī'ah offers a comprehensive framework to identify, recognise, respect and protect the rights of every individual, community, society and the state. Islamic scholars and jurists have defined very detailed principles identifying these rights.

e. Efficiency and Free Competition in the Market

The protection of property rights is the insurance of free competition in the market. Since there are many rules governing the rights of the individual, society and the state, the laws governing property ownership, and the framework of contracts, there is efficiency and trust in the market which diminish asymmetric information and moral hazard. Adam & Thomas (2004) say that in many emerging markets, including Muslim countries, property rights are not well-defined. Protecting these rights increases the efficiency and symmetric information in the market.

VI. ECONOMIC DEVELOPMENT AND PROPERTY RIGHTS

History shows that Muslims progressed when they protected property rights according to the Qur'ān and Sunnah. Similarly, history shows that Muslims fell into decline and disaster to the degree of their weakness in adhering to the principles of Islam. We know that Muslim countries in general have many troubles today. These problems are a direct result of the quality of Muslims who are living in these societies. Chapra (2007) and Naqvi (1994) hold the position that the main problems of today's Muslim states are having injustice, bad distribution of wealth, non-compliant rulers, unemployment, and not having *shūrā* (mutual consultation) and democratic states. All of these problems are contributing to the current economic state of Muslim countries. Chapra (2007) suggests that the government should have power to protect rights and introduce Islamic values in society. Although this role requires minimum intervention, coercive power cannot be controlled when we let it control the market. If coercive power would start to control the socio-economic environment, we would most probably see unnecessary violation of individual freedom and property rights.

The Qur'ān and Sunnah specify rules of behavior for all stakeholders in a society. The economic system which the Prophet (peace be upon him) established in Madinah protected property rights, had incentive structures and unchallengeable institutions. The institution of inheritance, the rules of market behavior, the rules of symmetric information, codes of moral behavior were the most important aspects of this economic system. At that time, there was a free market for everybody. There was no interference to market price and no permanent place in the market. No hoarding of goods or *talaqī al-rukḅān* (meeting importers before they reach the market). The Prophet (peace be upon him) prohibited the imposition of taxes on individual merchants as well as on transactions. The market was the only authorised place of trade. The state was responsible for maintenance of the market. As long as space was available in the existing one, no other markets were constructed. The Prophet designated a protective area around the market. While trade was permitted in the area surrounding the market in case of overcrowding, the location of each merchant was assigned on a first-come, first-

served basis but only for the duration of the trading day (Mirakhor & Hamid, 2009).

In modern times, the Islamic world has a lack of operational Islamic institutions and rules of market behaviour, including trust, trustworthiness and faithfulness to the terms and conditions of contracts (Iqbal & Mirakhor, 2011). The ‘new institutional approach’¹ states that fulfilling contracts has a huge impact on the rise or decline of societies (Acemoglu et al., 2001). If the resources provided by this development are not wasted in conflict, war and extravagance but, rather, used to improve the moral, physical and intellectual qualities of the people, enhance their knowledge base and develop their socio-economic, judicial and political institutions, then there will be further development and improvement in people’s well-being. This will enhance their motivation to work hard and efficiently and promote further development. Every episode of rise and revival drew its strength afresh from the original sources, the Qur’ān and the Sunnah.

VII. ECONOMIC IMPLICATIONS OF PROPERTY RIGHTS FOR CONTEMPORARY SOCIETIES

Both the Qur’ān and Sunnah place considerable emphasis on incentive structures for protection of property rights which are based on the rules of behavior affecting the market. All these rules of behavior were implemented by the Prophet (peace be upon him) in Madinah for the establishment of institutions in the market and the rules governing exchange, contracts, production, consumption, distribution and redistribution. Upon arrival in Madinah, the Prophet (peace be upon him) organized a market for Muslims. Unlike the existing markets in Madinah and elsewhere, the Prophet (peace be upon him) implemented policies to encourage trade among Muslims and non-Muslims. For example, travelling non-Muslim merchants were considered guests of the Muslims, and their merchandise was

¹ New institutional approach is a theory that focuses on the way institutions interact with the society. This approach provides a new explanation for the emergence and ontology of institutions. Acemoglu et al. (2001) made significant contributions in the area of institutions’ economic interactions.

guaranteed by the Prophet (peace be upon him) against non-compliant actions (Mirakhor & Hamid, 2009).

During the Prophet's (peace be upon him) term, the market infrastructure was shaped for market participants to access information and coordinate economic activities. There was full transparency regarding information on quantities, qualities and prices of products for all market players (Mirakhor & Hamid, 2009). No buyer or seller was allowed to harm the interests of other market participants. These rules, known as the Madinah market rules, evidently served as strong incentives for trade and growth. The foundational rules provide economic incentives and reduce market uncertainty. They have universal and enduring qualities, which show the preconditions for a resilient and robust free market economy.

In the contemporary world, the Property Rights Alliance (PRA) produces the International Property Rights Index (IPRI), which has measured intellectual and physical property rights in 129 nations around the world since 2007. The Index has three core components of property rights systems: legal and political environment, physical property rights and intellectual property rights.

From this Index it can be derived that there are great economic differences between countries with strong property rights and those without. Nations in the top quintile such as Finland, Australia and the United States enjoy an average national GDP per capita of USD 38,288 while nations in the second quintile, such as Ireland, Chile and Malaysia, have an average GDP per capita of USD 26,660 (there are 21 nations in this quintile).² The third, fourth and fifth quintile averages are USD 15,693, USD 5,141, and USD 5,545 respectively. Correlation between respect for property rights and development in countries is meaningful. Those countries where there is a stronger protection for private property are the ones that have a greater income per capita and less poverty.

The main variables used in this Index are judicial independence (which examines the judiciary's freedom) and the rule of law (which measures the quality of contract enforcement). The Index combines

² According to IMF World Economic Outlook Data, Ireland's GDP per capita at end 2014 was USD 54,411; Chile's was USD 14,517; and Malaysia's was USD 11,050. The average GDP per capita for these countries is around USD 26,660.

several indicators, including fairness, honesty, enforcement, speed, affordability of the court system, protection of private property rights and accountability of the judicial and executive branches. Control of corruption, political stability, registering property and protection of intellectual property rights are other important variables.

According to this Index, there are no Muslim countries among the top ten countries. Finland, New Zealand and Norway are the top three countries in protecting property rights. Qatar, the United Arab Emirates (UAE) and Malaysia are the top three Muslim countries on the list. Table 1 provides a list of the top ten countries as well as a list of the top-ranking Muslim countries from the IPRI 2015.

Table 1: Property Rights Index List

Top Ten Countries			Muslim Countries		
Rank	Country	Rating	Rank	Country	Rating
1	Finland	8.3	18	Qatar	7.5
2	New Zealand	8.2	21	UAE	7.3
3	Norway	8.2	28	Malaysia	6.6
4	Luxembourg	8.1	33	Oman	6.2
5	Singapore	8.1	36	Saudi Arabia	6.0
6	Switzerland	8.1	45	Jordan	5.8
7	Japan	8.0	47	Bahrain	5.8
8	Sweden	8.0	58	Turkey	5.3
9	Canada	7.9	63	Morocco	5.2
10	Denmark	7.9	70	Indonesia	4.9

Source: The International Property Rights Index (2015)

This table shows that Muslim countries have to develop their legal frameworks in order to protect property rights. Although this index is prepared according to conventional criteria, it is possible to develop a property rights index according to Islamic principles. In this index, factors such as legal, market, financial, intellectual and

ethical aspects can be added. Many control variables, such as size of banking system, fulfillment of contracts, GINI coefficient,³ poverty line⁴ and free competition⁵ in the market, can also be added to this index. Nonetheless, it is not expected that there would be significant differences between the results of this Sharī'ah-compliance index and the conventional index because property rights are not well protected in many Islamic countries. Besides, the economic environment in these countries is not favourable to the protection of property rights. The interest rate also affects the protection of property rights. A high interest rate means that a substantial part of risk is transferred to the poor. In a high interest rate environment, the poor become poorer and the rich become richer. Wealth distribution, number of millionaires and especially accumulated wealth are other important challenges for protection of property rights.

VIII. CONCLUSION

Property rights have been protected in Islam for more than 1400 years. Western civilizations started to discuss the issue of property rights much later after Islam had recognized all these rights. However, Muslim societies have neglected the protection of property rights whereas Western countries developed the process of protection of rights progressively and have since made huge progress. The countries featuring in the IPRI 2015 reflect this fact.

History shows us that Muslims endeavored to develop their societies by following the principles of Sharī'ah and that there was no exception for economic activities. An economic system according to Islam is based on preservation of property rights, emphasizing sanctity of contracts, ensuring justice in exchange and markets, expecting high ethical standards, sharing risks and promoting social justice. Islam places great importance on preservation of property rights; defines a balance between the rights of individuals, society and the state; and strongly prohibits violation of anyone's property rights. Moreover,

³ It can be derived mainly from World Bank data or OIC data.

⁴ It is calculated by the United Nations and the World Bank.

⁵ The World Economic Forum's Index provides data for this variable.

Islamic law is explicit about the institutional framework needed to protect the rights and privileges of property owners. Meanwhile, an Islamic state is ideally expected to promote market-oriented policies to facilitate efficient allocation of resources.

Property rights must not lead to wealth accumulation in the form of hoarding, as wealth must constantly be circulated in the economy to create investment, employment, income and economic growth. Since all humans are entitled to all created resources, the inability to access resources does not negate the individual's initial rights to resources. These rights must be redeemed through a rule that ordains sharing. Post-exchange sharing and distribution of property are redemption of an original right. Unlike the conventional system of property rights, Islam imposes limits on the freedom to dispose of property. This paper analyses property rights in Islam and discusses the rules of property rights. Moreover it is suggested that the protection of property rights for all individuals is done in a perfect way only in Islam through certain rules and well formulated institutional framework which has the necessary incentive structure and unique tools to protect property rights. However, the primary role is always given to rule-compliant individuals and the government has a very minimum role to promote market-oriented policies. At the last instance, this framework of enforcement of property rights improves income distribution and restores social justice.

References

- Acemoglu, D., Johnson, S. & Robinson, J. A. (2001). The Colonial Origins of Comparative Development: An Empirical Investigation. *American Economic Review*, 91(5), 369-401.
- Acemoglu, D., Johnson, S. & Robinson, J. A. (2005). *A Response to Albouy's 'A Reexamination Based on Improved Settler Mortality Data'*. Cambridge, Mass.: Massachusetts Institute of Technology, Department of Economics.
- Adam, N. J. & Thomas, A. (2004). *Islamic Bonds: Your Guide to Issuing, Structuring and Investing in Sukuk*. London, UK: Euromoney Books.
- Arif, M. & Iqbal, M. (2011). *The Foundations of Islamic Banking, Theory, Practice and Education*. The Lypiatts, Cheltenham, UK: Edward Elgar Publishing Ltd.
- Bashir, A. H. M. (2011). *Property Rights in Islam*. Proceedings of the Third Harvard University Forum on Islamic Finance, Cambridge, Massachusetts.
- Beck, T., Demirgüç-Kunt, A. & Levine, R. (2003). Law, Endowments and Finance. *Journal of Financial Economics*, 70, 137-81.
- Bentham, J. (1789). *An Introduction to the Principles of Morals and Legislation*. London: T. Payne.
- Chapra, M. U. (2007). *Islamic and Economic Development: A Strategy for Development with Justice and Stability*. New Delhi: Adam Publishers.
- Chapra, M. U. (2014). *Morality and Justice in Islamic Economics and Finance*. London, UK: Edward Elgar Publishing Ltd.
- Demsetz, H. (1967). Towards a Theory of Property Rights. *The American Economic Review*, 57(2), 347-359.
- Global Competitiveness Report 2014-2015*. Retrieved from <https://www.weforum.org/reports/global-competitiveness-report-2014-2015/>
- Hayek, F. A. (1960). *The Constitution of Liberty*. Chicago: University of Chicago Press.
- Hegel, G. W. F. (1820). *The Philosophy of Right*. Berlin, Germany.
- Hobbes, L. (1651). *Leviathan*. London: Printed for Andrew Crooke.
- Iqbal, Z. & Mirakhor, A. (2011). *An Introduction to Islamic Finance: Theory and Practice*. Singapore: John Wiley & Sons.
- International Property Rights Index (2015). Retrieved from <http://internationalpropertyrightsindex.org/countries>.
- Latif, S. A. (2002). *The Mind Al-Qur'ān*. Kuala Lumpur, Malaysia: Academic Art and Printing Services.
- Levine, R. (2005). Law, Endowments and Property Rights. *National Bureau of Economic Research*. Cambridge, MA, Working Paper 11502, Retrieved from: <http://www.nber.org/papers/w11502>.
- Locke, J. (1689). *The Two Treatises of Civil Government*. (Hollis ed.) on the Online Library of Liberty.
- Marx, K. (1847). *Wage, Labor and Capital*. Neue Rheinische Zeitung, April 1849.
- Mill, J. S. (1859). *On Liberty*. London, Felling-on-Tyne New York and Melbourne: The Walter Scott Publishing Co., Ltd.. Retrieved from: www.gutenberg.org.
- Mirakhor, A. (2009). Islamic Economics and Finance: An Institutional Perspective. *IIUM Journal of Economics and Management*, 17(1), 31-72.
- Mirakhor, A. (2010). *Whither Islamic Finance? Risk Sharing in an Age of Crises*. Paper presented at the Inaugural Securities Commission Malaysia (SC), Oxford Centre for Islamic Studies (OCIS) Roundtable, March 15, 2010.

- Mirakhor A., Askari, H. & Iqbal, Z. (2009). *New Issues in Islamic Finance: Finance, Economics, Progress and Challenges*. Singapore: John Wiley & Sons (Asia) Pte. Ltd.
- Mirakhor, A. & Hamid, I. S. (2009). *Islam and Development: The Institutional Framework*. New York, NY: Global Scholarly Publications.
- Naqvi, S. N. H. (1994). *Islam, Economics and Society*. London: Kegan-Paul.
- Ng, A., Dewandaru, G., & Ibrahim, M. H. (2014). *Property Rights and the Stock Market: Real Activity Nexus After the Global Financial Crisis*. 2014 Financial Markets & Corporate Governance Conference.
- Nozick, R. (1974). *Anarchy, State and Utopia*. New York, NY: Basic Books.
- Nursi, B. S. (1936). *Words*. Istanbul, Turkey: Sozler Yayinevi.
- Rahman, F. (1994). *Major Themes of the Qur'ān*. Chicago: The University of Chicago Press.
- Rousseau, J. J. (1762). *The Social Contract or Principles of Political Right*. Translated 1782 by G. D. H. Cole.
- Saleem, M. (2009). *An Introduction to the Theoretical Foundations of Islamic Transactions*. Malaysia: ILMIAH Publishers.
- Smith, A. (1776). *The Wealth of Nations*. New York, NY: Random House [2000].
- Smith, A. (1759). *The Theory of Moral Sentiments*. Indiana Polis: Liberty Fund, [1984].
- Warde, I. (2000). *Islamic Finance in Global Economy*. Edinburgh: Edinburgh University Press.